

■ Broken Money

by Lyn Alden — Prosora Free Summary

CORE THESIS

Money is fundamentally an open ledger technology used to track human energy, trade, and debt across space and time. Modern financial instability is not a random policy failure, but the mathematical consequence of a technological mismatch: the speed of electronic communication outpaced the physical settlement speed of gold, forcing the world onto centralized, trust-based fiat ledgers. *Broken Money* demonstrates that current fiat currencies are structurally engineered to dilute purchasing power and enforce financial repression, and that resolving global financial decay requires adopting distributed ledger systems that unite light-speed transaction velocity with absolute mathematical scarcity.

WHY THIS BOOK MATTERS

Most financial books treat money as an unchangeable law of physics, teaching readers how to play a game whose rules are fixed. They advise saving cash in banks, buying index funds, and trusting that central authorities will maintain order. *Broken Money* dismantles this illusion by analyzing money through the lens of engineering, technological evolution, and monetary history.

The book solves a critical problem facing modern individuals: why working harder and saving diligently no longer guarantees middle-class stability or retirement security. It exposes how central banking systems use currency debasement as an invisible, perpetual tax to finance ballooning public debt. By shifting your mindset from treating paper currency as a reliable store of value to understanding it as a degrading custodial ledger, *Broken Money* provides a mental model for navigating an era characterized by structural inflation, sovereign debt traps, and global monetary realignment.

KEY LESSONS

Lesson 1: Money is an Information Ledger, Not an Asset Class

At its root, money is not a physical object or a wealth generator; it is a ledger system designed to record who owes what to whom across economic transactions. Throughout history, societies chose physical commodities like gold and silver as monetary ledgers because their physical properties—rarity, durability, divisibility, and difficulty to counterfeit—made their ledgers self-verifying and immune to centralized tampering.

When you perform productive work, you earn a claim check on society's future economic output. If the ledger used to track those claim checks can be altered by decree or expanded

at zero marginal cost, your stored energy is drained and redistributed to those who control the ledger.

Takeaway: Evaluate all forms of savings not by their nominal currency face value, but by how resistant their ledger is to arbitrary dilution and centralized manipulation.

Lesson 2: The Speed Mismatch Between Communication and Settlement Created the Fiat System

The modern fiat system was born from a technological collision during the 19th century. The invention of the telegraph allowed human transaction instructions to travel at the speed of light across continents, while physical gold settlement still moved at the speed of steamships and trains.

To bridge this settlement gap, banks abstracted gold into paper certificates and centralized digital balance sheets, allowing trade to move instantly while gold stayed locked in central vaults. Over time, central governments realized they could disconnect the paper certificates from the underlying physical gold altogether.

By removing the physical constraint of gold settlement, governments created fiat currency—a fully centralized ledger system detached from physical cost, enabling unchecked monetary expansion and total control over financial velocity.

Takeaway: Recognize that paper and digital bank deposits are not actual money; they are unhedged credit claims built on top of centralized custodial ledgers.

Lesson 3: The Cantillon Effect Makes Economic Inequality Structural

When a central bank creates new money or expands bank credit, that fresh currency does not drop uniformly from the sky into every citizen's bank account. It enters the economy through specific structural channels: primary government bond dealers, massive financial institutions, mega-corporations, and defense contractors.

These early recipients spend the new money at current prices before the general market adjusts. By the time the money flows down to wage earners, small business owners, and retirees, consumer prices have already expanded. This dynamic—known as the Cantillon Effect—acts as a systematic wealth transfer from the edges of the economic network to its center, driving structural inequality independent of personal effort or merit.

Takeaway: Avoid holding surplus labor in cash accounts near the bottom of the monetary waterfall; move capital into hard, non-dilutable assets that lie upstream from monetary expansion.

Lesson 4: Fiat Money is an Unfunded, Invisible Tax on Time and Energy

Because governments face political backlash when raising direct income or sales taxes, they rely on currency debasement to finance spending deficits. Diluting the money supply reduces the purchasing power of every existing monetary unit in circulation, operating as an unvoted tax on cash savings and fixed wages.

This environment forces every individual to act as a speculator. To prevent their surplus energy from evaporating through negative real interest rates, workers are forced up the risk curve into stock market speculation, real estate flipping, or complex derivatives simply to maintain baseline wealth. Money loses its core utility as a neutral store of value, turning basic economic survival into a complex game of asset allocation.

Takeaway: Treat cash reserves exclusively as short-term liquidity, holding long-term wealth in productive, scarce assets that cannot be printed by legislative decree.

Lesson 5: Sovereign Debt Realities Lead Inevitably to Fiscal Dominance

When a nation's sovereign debt exceeds critical thresholds (typically 100% of GDP), standard monetary policies break down. Under lower debt levels, central banks raise interest rates to cool inflation. However, under high debt loads, raising interest rates increases the government's interest expense, expanding the fiscal deficit even faster.

This state is called *Fiscal Dominance*. At this point, higher interest rates actually accelerate currency creation by flooding the economy with government interest payouts. The central bank loses its independence and is forced to print money to purchase public debt, ensuring that high structural inflation becomes the primary tool for devaluing real debt burdens at the expense of currency holders.

...

[High Sovereign Debt (>100% GDP)]



[Central Bank Raises Interest Rates]



[Government Interest Expense Explodes]



[Deficit Expands & Money Supply Increases]





[Structural Inflation Escalates]

...

Takeaway: Track sovereign debt-to-GDP ratios and government net interest payments to anticipate cycles of persistent inflationary monetary policy.

Lesson 6: The Global Dollar System Functions as Financial Colonialism

The post-1971 petrodollar system requires global trade to run on U.S. dollar ledgers. Developing nations must accumulate dollar reserves to pay for critical commodities like oil and grain. This creates a asymmetric economic relationship: emerging markets export real physical resources, labor, and manufactured commodities to wealthy nations in exchange for paper treasury claims that lose real purchasing power over time.

Furthermore, when the U.S. Federal Reserve shifts domestic interest rate policies, it causes currency crises, capital flight, and debt defaults across developing countries that hold dollar-denominated debt. The global fiat architecture enforces systemic instability outside its domestic borders to maintain economic privilege at the center.

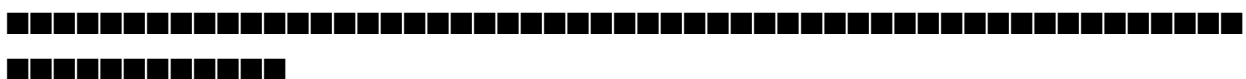
Takeaway: Diversify global asset allocation outside pure sovereign debt of dominant nations to insulate capital from geopolitical monetary restructuring.

Lesson 7: Technology Dictates the Superior Monetary Standard

Monetary standards are selected based on technological capability. Gold won over shell and stone ledgers because it had the highest stock-to-flow ratio—meaning its existing supply was vast compared to the maximum amount that could be freshly mined each year. Fiat won over gold because physical gold could not settle at the speed of modern telecommunication networks.

However, open-source, decentralized cryptographic networks solve this compromise. They combine the light-speed global transmission of digital fiat with a stock-to-flow ratio that surpasses gold, governed by unalterable code rather than human committees. Technology has advanced to the point where centralized trust is no longer required to operate a fast, globally verifiable ledger.

...



■ Monetary System ■ Transaction Velocity ■ Supply Scarcity ■

— — —

POWERFUL QUOTES

- **"Money is an open ledger that tracks human work and resource allocation across space and time."**
- Money is an informational tool for coordination, not a sovereign gift or intrinsic asset.
- **"When communication outpaces physical settlement, money shifts from self-verifying commodities to custodial credit ledgers."**
- Fiat currency emerged directly from a technological gap between electronic information speed and physical transportation.
- **"Inflation is not a mysterious accident of nature; it is the deliberate policy of diluting monetary units to service unpayable debt balances."**
- Rising prices are the intended structural feature of high-debt fiat architectures, not an unexplainable market anomaly.
- **"The Cantillon Effect guarantees that proximity to the money printer determines wealth far more than productivity or labor output."**
- Modern financial design structurally rewards financial engineering over baseline economic contributions.
- **"A monetary system based on mathematical scarcity removes human discretion from the core ledger of human trade."**
- Trustless digital ledgers replace fallible institutional promises with verifiable physical and cryptographic laws.

MYTHS THIS BOOK DESTROYS

- **Myth:** Inflation is caused primarily by corporate greed or external supply disruptions.*

Revelation:

While supply shocks shift price ratios, sustained price increases across all consumer goods are caused by expanding the money supply faster than the growth of real goods and services.

- **Myth:** Government bonds are the absolute baseline of safe, risk-free long-term savings.*

Revelation:

Government bonds carry low nominal default risk but near absolute real purchasing power risk due to structural financial repression and ongoing currency debasement.

- **Myth:** The gold standard failed because it was inadequate for modern trade speed.*

Revelation:

Gold failed to stay money because its physical layer moved too slowly compared to electronic communication, forcing centralization into banks where governments easily confiscated and detached it.

- **Myth:** Centralized digital currencies (CBDCs) enhance financial freedom and modern efficiency.*

Revelation:

CBDCs expand the structural flaws of fiat by merging perpetual currency debasement with granular surveillance and direct permission controls over individual spending.

30-DAY ACTION PLAN

Week 1: Audit Your Monetary Ledger Exposure

- Calculate your liquid savings balance and determine the percentage held in cash accounts, short-term bank deposits, and government bonds.
- Estimate your true cost of living increase by comparing essential expenses (housing, food, energy, healthcare) over the last 3-5 years against reported official inflation indexes.
- Calculate your annual purchasing power loss using real inflation metrics to determine your baseline real return requirement.

Week 2: De-risk Long-Term Capital Storage

- Review all fixed-income holdings (bonds, cash equivalents, money market funds) within your long-term retirement accounts.
- Reduce exposure to long-duration government paper exposed to structural financial repression.
- Shift long-term capital reserves into real, non-dilutable productive assets, high-margin equity businesses, and proven scarce commodities.

Week 3: Establish Bearer Asset Holdings

- Establish a cold-storage hardware wallet infrastructure for self-custodied open-source digital monetary assets.
- Take physical custody of a portion of your wealth using self-sovereign cryptographic keys or physical precious metals.
- Verify that your bearer assets carry zero counterparty risk and do not rely on institutional permission or bank solvency.

Week 4: Build a Resilient Sovereign Life System

- Restructure your ongoing monthly cash flows to automatically route excess savings directly into self-custodied scarce assets.

- Eliminate high-interest variable debt while utilizing non-recourse, low-rate fixed-term debt strategically against long-term appreciating physical assets.
- Diversify geographic, legal, and operational custodians to ensure your core financial ledgers remain resilient against regulatory changes or political capital controls.

WHO SHOULD READ THIS

Broken Money is essential reading for investors, entrepreneurs, macroeconomic thinkers, and citizens who want to understand the structural mechanics of inflation, debt, and economic decline. It is ideal for anyone looking to build a resilient long-term financial strategy based on monetary history, technological realities, and self-sovereign asset preservation.

REFLECTION QUESTIONS

1. How much of your stored labor is kept in centralized fiat ledger accounts that can be diluted by third-party decisions?
2. If real inflation runs higher than nominal bank interest rates, how many years can your current liquidity strategy preserve your family's purchasing power?
3. Which of your current wealth holdings rely entirely on permission from centralized intermediaries to access, send, or spend?
4. How will your asset allocation perform if sovereign debt dynamics force central banks into permanent monetary expansion?
5. If money is an information system for storing human time, are you preserving your lifetime energy in a broken ledger or a secure one?

FINAL WORD

Financial sovereignty does not come from earning more units of a degrading currency; it comes from recognizing that money is a technological ledger subject to the laws of physical and digital design. When you understand that modern fiat is a centralized, high-friction ledger designed to erode stored human time, you can step off the debasement treadmill. By shifting your wealth out of centralized promises and into mathematically scarce, permissionless bearer assets, you protect your output, reclaim your agency, and build lasting financial freedom.